

The Great Broadband Bake Off

U.S. Cable & Telecom Results & Reflections

- **1Q26 earnings across the Telecom & Cable sectors told a familiar but increasingly divergent story.** The wireless carriers continued to execute well, with healthy subscriber trends, improving churn, and convergence strategies gaining traction, even as balance sheets remain in transition following a wave of acquisitions and elevated network investment. Cable operators, by contrast, continued to lose broadband subscribers at an uncomfortable pace, with top-of-funnel pressures showing few signs of structural relief.
- **Against this backdrop, we maintain a preference for Telecom over Cable.** The wireless carriers offer more predictable cash flow profiles, credible delevering roadmaps, and demand tailwinds tied to mobility and fiber that we view as more durable than the pricing and bundling levers Cable is increasingly relying on to stabilize results.
- **Within Telecom,** we continue to rate all three of the major carriers at Neutral. Fundamentals are generally moving in the right direction across AT&T, Verizon, and T-Mobile, but spreads across the group have compressed to the point where differentiation is limited and the risk-reward for adding exposure looks less compelling than it once did.
- **Charter** is the one name in Cable where we see near-term value, though our Overweight rating on the IG Secured notes is a relative value call rather than a view that the fundamental picture has improved. The pending Cox acquisition adds footprint and synergy potential, and a more conservative capital allocation posture during integration should provide some near-term credit support.
- **Comcast** screens as a more difficult name to own at current levels. Despite its higher ratings, spreads already reflect a best-case stabilization scenario that the underlying financials have not yet validated, and the company faces simultaneous pressures across broadband, streaming investment, and sports rights costs that limit near-term earnings visibility.
- **Longer-term, Cable sector consolidation remains an open question.** This quarter, T-Mobile closed the door on any Cable transaction, at least for now, and the more plausible endgame in our view involves Comcast eventually separating its Media and Connectivity assets and combining the latter with Charter, though regulatory and leverage hurdles make that a multi-year rather than near-term conversation in our view.

North American Corporate Credit – Tech, Media, & Telecom (IG)

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J.P. Morgan Securities LLC

Table 1: U.S. Cable & Telecom Comps

Ticker	Issuer	Reported Leverage		EV \$ mns	Moody's	Ratings		5yr	G-Spread (mid)	
		Gross	Net			S&P	Fitch		10yr	30yr
CHTR	Charter Communications Inc	4.2x	4.2x	114,638	Ba1	BBB-	BBB- *	97	181	221
CMCSA	Comcast Corp	2.6x	2.4x	174,876	A3	A-	A-	68	72	119
COXNT	Cox Communications Inc	5.0x	5.0x	N/A	Baa2 *	BBB *	BBB+ *	112	173	203
TMUS	T-Mobile US Inc	2.5x	2.4x	324,517	Baa1	BBB+	BBB+	73	82	109
T	AT&T Inc	3.0x	2.7x	335,353	Baa2	BBB	BBB+ *	59	89	123
VZ	Verizon Communications Inc	3.4x	3.2x	385,550	Baa1	BBB+	A-	58	92	112

Source: Company reports & Bloomberg Finance L.P.

Sector & Relative Value Views

Table 2: IG Cable & Telco Ratings

T	AT&T	N
CHTR	Charter Communications (IG)	OW
CMCSA	Comcast	UW
TMUS	T-Mobile US Inc.	N
VZ	Verizon Communications	N

Source: J.P. Morgan.

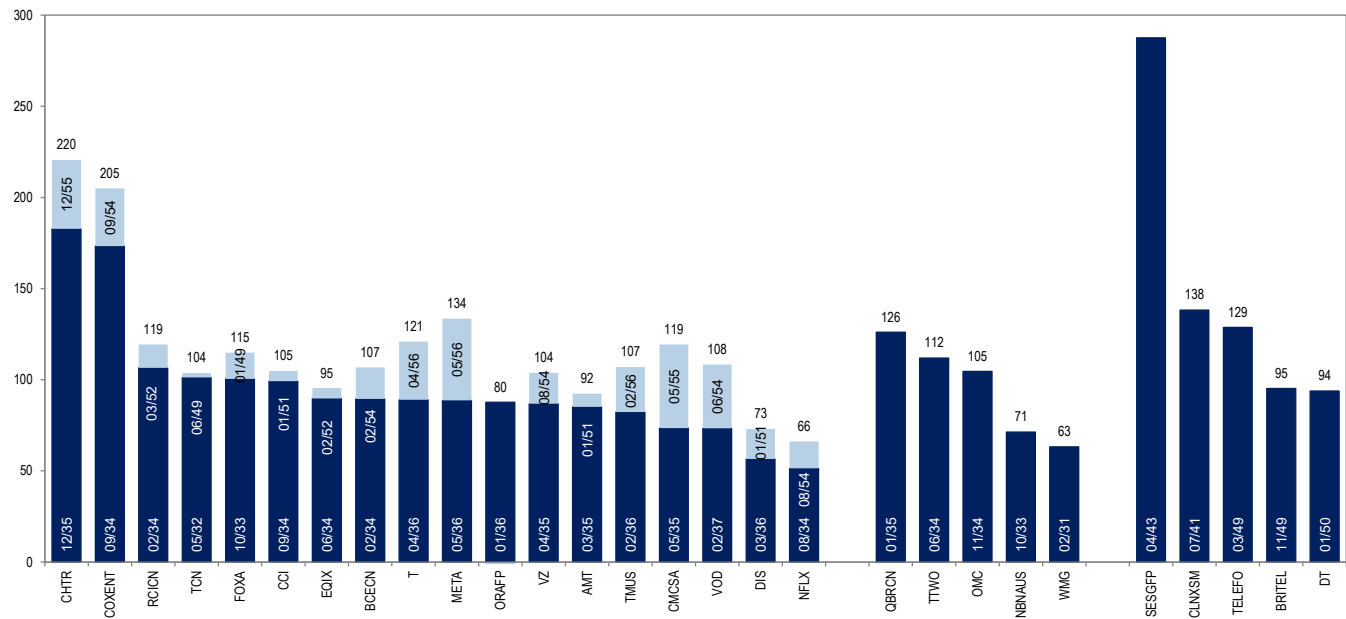
1Q results across U.S. Telecom were mostly constructive, with operators delivering steady wireless performance, improving customer metrics, and stable to slightly better cash generation, even as elevated capex and near-term leverage remain part of the story. Management commentary across the group pointed to continued strength in mobility, disciplined promotions, and growing benefits from convergence strategies that are supporting churn and ARPU stability and long-term customer value, alongside clearer visibility into de-levering paths despite ongoing investment and selective M&A. **In contrast, Cable results were more mixed to weaker**, with broadband subscriber trends continuing to deteriorate amid intense competition from fixed wireless and fiber, and a still-muted housing backdrop weighing on gross additions. While underlying churn and ARPU dynamics remain relatively stable and wireless bundling is providing some offset, near-term EBITDA and growth visibility remains pressured by pricing actions, promotional intensity, and ongoing investment, leaving the sector more reliant on execution and future stabilization to support the credit story.

As such, we continue to prefer U.S. Telecom over Cable as the sector offers a more stable and visible credit trajectory supported by resilient wireless fundamentals, clearer paths to de-levering, and improving convergence-driven economics, while Cable faces more structural and execution-driven headwinds that limit confidence in forward cash flow durability. Across the Telecom cohort, operators are demonstrating steady service revenue growth, improving churn, and tangible benefits from bundling wireless with fiber and fixed wireless, which is supporting lifetime customer value and driving a more predictable FCF profile alongside defined leverage targets and disciplined capital allocation frameworks. Cable operators continue to face persistent broadband subscriber losses driven by fixed wireless substitution, fiber overbuild, and a muted housing backdrop, with growth increasingly reliant on pricing and bundling strategies that pressure ARPU and near-term EBITDA. At the same time, Cable balance sheets remain more levered and more sensitive to execution, particularly as capital allocation remains skewed toward shareholder returns, raising the risk of slower de-levering in a declining or uncertain top-line environment. While select near-term catalysts such as M&A synergies and capex normalization may support FCF, we view these as less durable than the structural demand tailwinds in Telecom tied to mobility, fiber expansion, and convergence, leading us to favor Telecom as offering a more balanced risk-reward with stronger visibility.

At a high level, our ratings across AT&T, Verizon, and T-Mobile reflect that more constructive view on the Telecom sector's underlying credit stability, though tempered by valuations that largely capture improving fundamentals, while our stance on Charter and Comcast reflects a more cautious view on Cable given weaker growth visibility and greater execution risk. Within Telecom, we remain Neutral on the Big Three as steady wireless performance, convergence benefits, and defined de-levering paths support the credit story, but spreads across the group have traded broadly flat and leave limited room for meaningful outperformance without a clearer inflection in leverage or growth. **On Cable, our views diverge based on valuation and structure**, with a more constructive stance on Charter's secured debt driven by relative value and near-term catalysts, despite structural headwinds, while Comcast remains an Underweight given tight spreads relative to both Cable and Telecom peers alongside ongoing transition risk in its operating model.

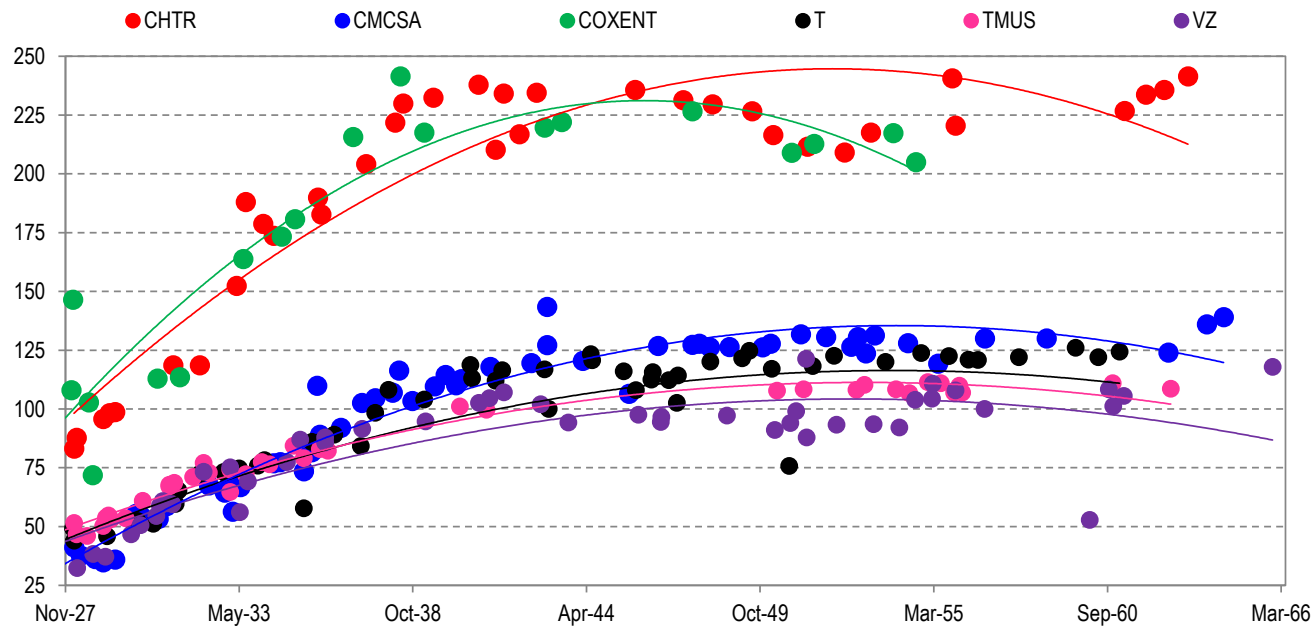
The steady decline of the Cable sector over the past ~five years has led many to speculate about the future of the industry and the potential pathways toward consolidation. The early phases have already begun, as demonstrated by Charter's pending acquisition of Cox, though the belief has been that there will eventually be more significant consolidation among the bigger players. T-Mobile acquiring Charter is one idea that has been pushed for years, though this quarter T-Mobile definitively stated that it has no interest in acquiring any Cable assets, noting that it will not pursue scale for the sake of scale. **In our view, a more likely answer is that Comcast will eventually split its Cable and Media assets and combine its Cable business with Charter's.** On the merits, a combined Comcast/Charter entity would create a true national broadband incumbent, consolidating overlapping capex programs, eliminating duplicate network investments, and generating meaningful scale efficiencies across programming, wireless, and equipment procurement. The structure would likely mirror what Comcast has already telegraphed comfort with through Versant, spinning the NBCU media assets into a separately traded entity and leaving a pure-play connectivity business. In fact, Comcast recently explored an alternative version of this strategy when it [participated in](#) the bidding process for the WBD streaming and studio assets, and it is our belief that Comcast would need to have at least one transaction lined up for either side of the business in order to justify a split. The challenge is where to begin with regulatory hurdles, as a combined Comcast/Charter entity would serve a majority of the U.S. broadband footprint, and while the two systems are largely non-overlapping geographically, antitrust scrutiny in a broadband-consolidation context would likely be intense regardless of administration. Leverage is a secondary but real constraint, with Charter already carrying elevated leverage, a transaction of this scale would likely require either a stock-heavy structure or meaningful asset sales. Recent commentary from Charter has suggested that the firm is willing to explore all potential consolidation opportunities, and Comcast's management team has signaled a similar willingness, though they did say that the firm is focused on itself for now. **While we do not necessarily expect this to be a near-term priority, we do expect Cable consolidation chatter to get even louder as we near the end of the decade.**

Figure 1: Telecommunications & Media Benchmark 10s30s G-Spreads



Spreads as of 11 May 2026. Cash prices adjusted by 0.17bp per cash point.
Source: J.P. Morgan & Bloomberg Finance L.P.

Figure 2: U.S. Telco & Cable G-Spread Curves



Spreads as of 11 May 2026. Cash prices adjusted by 0.17bp per cash point.
Source: J.P. Morgan & Bloomberg Finance L.P.

AT&T

- **AT&T posted strong 1Q results**, with modest upside versus estimates for key headline metrics, while reaffirming prior FY26 guidance and signaling improving momentum throughout the balance of the year. Results reflected continued resilience in wireless, steady fiber execution, and early benefits from pricing and cost actions, offset by still-elevated investment levels tied to network expansion. Management maintained a constructive tone on convergence, broadband growth, and balance sheet repair, though leverage is set to rise near-term as strategic transactions close.
- **We remain Neutral on AT&T** as current spreads already reflect improving execution, including steady wireless net adds, fiber growth, cost actions, and solid FCF generation. While management has outlined a credible de-levering path, leverage remains higher than that of Verizon or T-Mobile, with Lumen and EchoStar funding needs likely to keep issuance elevated and balance sheet progress gradual. With spreads essentially flat to Verizon and T-Mobile for months now, we see limited room for meaningful outperformance absent a clearer leverage inflection. Within the group, AT&T's long end offers the best relative value, though still not enough to drive a more constructive stance. Risks to our rating include faster-than-expected de-levering or spread widening that creates relative value upside, or, conversely, heavier-than-expected spectrum acquisition and issuance, or weaker competitive trends.
- **Financials.** Headline results broadly exceeded Street estimates, with revenue (\$31.51bn vs. \$31.25bn), adj. EBITDA (\$11.98bn vs. \$11.79bn), and EPS (\$0.54/share vs. \$0.55/share) outperforming. Capex of \$4.88bn (vs. \$5.08bn) came in below consensus, supporting FCF of \$2.51bn (vs. \$2.43bn). However, FCF still fell \$600mn y/y due to higher capex from accelerated fiber deployment. Under the new reporting structure, Advanced Connectivity generated over 90% of revenue and EBITDA, while Advanced Home Internet grew 27% y/y.
- **Guidance.** Management reaffirmed prior FY26 guidance and expressed confidence in a stronger cadence through the year, driven by improving service revenue and EBITDA trends as pricing actions flow through, convergence scales, and cost initiatives advance. The company continues to expect low-single-digit service revenue growth and 3-4% adj. EBITDA growth, with EBITDA growth improving in 2Q as comparisons normalize and incremental cost actions are implemented. On cash generation, the firm guided to \$4.0-4.5bn of 2Q FCF and reiterated \$18bn+ for the year.
- **Capital Allocation & Balance Sheet.** AT&T ended 1Q with \$138bn of long-term debt and \$12bn of cash. Net leverage rose to 2.7x from 2.5x at 4Q and is expected to increase to ~3.2x after the EchoStar transaction, before declining to ~3.0x by YE26 and returning to the 2.5x target over the next three years. The firm also expects to close a minority stake sale of its Lumen fiber assets in 2H. Management emphasized continued network investment in fiber and 5G alongside shareholder returns and a defined leverage path. The firm repurchased \$2.3bn shares and paid ~\$2bn of dividends in 1Q, reiterated its \$8bn buyback plan for this year, and signaled a steady pace through 2028 as part of its \$45bn return target. Following results, AT&T issued \$6bn of senior notes, bringing YTD issuance to \$12.5bn and chipping away at what could be nearly \$20bn of supply tied to the Lumen and EchoStar transactions and refinancing needs.

- **Mobility.** Wireless service revenue grew 1.7% y/y and postpaid phone net adds (+294k vs. +269k) beat expectations, while postpaid phone churn improved q/q to 0.89% from 0.98% in 4Q. Postpaid phone ARPU of \$56.51 was flat y/y as the company targeted underpenetrated value segments and expanded converged accounts that carry discounts but offer stronger retention. Management reiterated expectations for 2-3% MSR growth in FY26 and said 2Q should improve q/q, supported by refreshed unlimited and converged plans and April pricing actions. Churn normalization was framed as a function of the base shifting toward converged relationships. Management also signaled a rebalancing of the wireless model away from being over-indexed to device subsidies and toward network value, with added spectrum viewed as a catalyst for growth, retention, and broader FWA access.
- **Broadband & Fiber.** Fiber net adds of +292k were modestly below expectations of +293k, while Internet Air net adds of +239k trailed expectations of +242k. Management nevertheless continued to frame broadband as a core growth engine, led by fiber build and FWA, citing 27% y/y growth in Advanced Home Internet service revenue. The acquisition of Lumen's fiber business closed in 1Q, adding ~650bps to revenue growth, 1.1mn fiber customers, and 4mn+ fiber locations. The company reiterated plans to expand fiber reach by ~8mn locations this year, remain on track for 60mn+ locations by 2030, and improve fiber net adds throughout the year. Management also highlighted attractive fiber economics that support more value-oriented go-to-market moves and deeper wireless-broadband convergence. On Cable MVNOs, the company said it remains selective and does not intend to provide wholesale access without commercial and operating discipline.
- **Broadband Network Maturation.** Management highlighted maturation dynamics, arguing that moving penetration from 40% to 50% will require more value-segmented offers and could rationally dilute ARPU in exchange for accretive subscriber growth. DSL feedstock is diminishing, while recent fiber growth is increasingly driven by new customer acquisition. Longer term, leadership tied upside to copper retirement as a path to lower costs and higher profitability, noting approvals to discontinue legacy services in 30%+ of wire centers. Additional shutdowns are expected, and related savings are already embedded in guidance.
- **Convergence.** Management continued to emphasize convergence between Wireless and Broadband as the best lever to improve churn and customer economics. The thesis is that bundled fixed and mobile offerings drive account growth, lower churn, and stronger long-term value. Churn normalization was again framed as a mathematical outcome as the base shifts toward asset-based relationships anchored on fiber where available and Internet Air where appropriate. AT&T's convergence rate reached 45% in 1Q, and management highlighted OneConnect as a platform to simplify multi-device connectivity under one subscription, require fiber broadband, and shift competition toward network value rather than subsidies. The Lumen fiber acquisition was also framed as an accelerant by expanding fiber reach and improving returns as availability scales.
- **Satellite & Spectrum.** Leadership discussed spectrum mainly through the planned EchoStar transaction, citing early benefits in markets where leased spectrum has already been deployed, including better network perception that should support wireless growth and retention over time. Added capacity was also tied to convergence by enabling Internet Air distribution, supporting enterprise bids outside the fiber footprint, and establishing relationships in markets expected to receive fiber later. The firm did not comment on the upcoming AWS-III auction given the quiet period. Management portrayed satellite, particularly LEO direct-to-device, as an

innovation that can expand the connectivity market through always-on coverage while posing limited near-term risk to the core broadband franchise. Leadership reiterated plans to integrate satellite through wholesale partnerships, highlighted work with AST Space Mobile, and expects multiple constellations to ultimately provide robust direct-to-device service in the U.S.

T-Mobile

- **T-Mobile delivered a solid 1Q print that reinforced the company's position as the current operating leader in U.S. wireless**, with upside across profitability, FCF, and FY26 guidance supported by continued postpaid account growth, healthy ARPA trends, and expanding broadband scale. Management's commentary pointed to sustained commercial growth, disciplined promotional activity, and improving economics across both FWA and fiber. The firm also inked two new fiber JVs and indicated that it might pursue that strategy further going forward, though management notably poured cold water on a potential Cable merger down the road.
- **We remain Neutral on T-Mobile** as the company continues to execute well operationally, with healthy wireless momentum, improving broadband scale, modestly higher guidance, and a shareholder-friendly but still manageable capital allocation framework. That said, much of the credit story now appears reflected in valuations, with spreads across the Big Three trading broadly flat for months despite meaningfully different business mixes, leverage profiles, and capital return priorities. While T-Mobile arguably deserves a premium for growth and execution, investors are also underwriting a more aggressive buyback posture, expanding fiber ambitions, and a capital structure with less natural de-levering urgency than peers. In that context, we see limited relative value opportunity at current levels. Risks to our rating include sustained premium wireless growth or faster-than-expected broadband monetization, leading to tighter spreads; or, conversely, more aggressive buybacks or re-levering M&A than we presently expect.
- **Financials.** T-Mobile reported a modestly better 1Q print, with revenue (\$18.83bn vs. \$18.82bn) in line, while core EBITDA (\$9.24bn vs. \$9.05bn), EPS (\$2.27/share vs. \$2.01/share), and FCF (\$4.60bn vs. \$4.31bn) all exceeding consensus. Capex (\$2.62bn vs. \$2.49bn) was above expectations as network investment continued. **The company also stopped reporting subscriber net additions this quarter, so postpaid phone and 5G broadband net adds were not disclosed.**
- **Guidance.** T-Mobile raised FY26 guidance across several metrics, citing strong momentum and increasing differentiation. Management increased total postpaid net account additions to 975k at the midpoint from 950k and reiterated service revenue of ~\$77bn, implying ~8% growth. The company maintained FY postpaid ARPA growth of 2.5-3.0% and raised core EBITDA guidance to \$37.30bn at the midpoint from \$37.25bn, with 2Q core EBITDA expected to grow ~10% y/y. Cash capex guidance was unchanged at ~\$10bn, while FCF guidance increased to \$18.40bn at the midpoint from \$18.35bn.
- **Capital Allocation & Balance Sheet.** T-Mobile ended 1Q with \$86bn of long-term debt and \$3.5bn of cash. Management reiterated a disciplined capital allocation framework focused on core investments, selective value-accretive M&A, and shareholder returns, while maintaining a returns-driven approach in adjacent areas such as fiber. The company repurchased \$4.9bn shares in 1Q, paid ~\$1.1bn of dividends, and increased its 2026 buyback authorization by up to \$3.6bn to a total of

\$18.2bn. Management said future repurchases will be driven by discounts to intrinsic value rather than near-term trading levels. It also maintained its cash capex guidance and described the recently-announced fiber JVs as capital efficient.

- **M&A Headlines.** Management was asked about reports that controlling shareholder Deutsche Telekom is discussing a potential combination with T-Mobile to create a simplified structure controlling both T and TMUS operations. CEO Srinu Gopalan said the company does not comment on rumors, but noted that any such transaction would require approval from disinterested shareholders, suggesting a deal is unlikely in the near-term. CFO Peter Osvaldik also said the company remains pleased with its capital-light fiber JV strategy and would only pursue highly value-accretive broadband M&A. Regarding potential Cable M&A, Gopalan chimed in to note, **“We’re not going to do scale for scale’s sake. Specifically, Cable is not something we’re interested in.** We see our strength as attacking incumbents rather than becoming an incumbent. We see a huge opportunity to attack incumbents across fiber and FWA, and that will be our key play.” Lastly, reports from TMT Finance recently indicated that T-Mobile was exploring a buyout of Uniti with TPG Group, though this was not mentioned on the call.
- **Wireless.** T-Mobile reported continued strength in wireless, with management citing network quality, value, and customer experience as drivers of growth and monetization. The company reported postpaid net account additions of 217k, up 6% y/y, alongside postpaid ARPA growth of 3.9% and postpaid service revenue growth of 15% y/y. Management said promotions were heavy in January but eased in February and March, while maintaining a disciplined approach tied to customer lifetime value and premium plans, with over 60% of new account lines taking premium tiers. Postpaid phone churn was stable and up ~3bps, while higher account churn was attributed to a mix shift toward faster-growing broadband-only accounts and newer customers with structurally higher churn and fewer lines per account.
- **Broadband.** Results were also strong, with management positioning the company as the fastest-growing ISP in the U.S. with more than 500k broadband net adds in 1Q and accelerating y/y 5G broadband net adds. Management reiterated a path to 15mn customers by 2030 based on capacity planning that assumes no additional spectrum purchases, no 6G, and no further spectral efficiency gains. The company also highlighted improving FWA metrics, including rising customer NPS, faster average speeds, and stronger router performance while serving materially more customers over the past three years. In fiber, management said existing JVs are performing to plan and reaffirmed a returns-focused approach centered on double-digit IRRs.
- **New Fiber JVs.** On Wednesday, T-Mobile announced definitive agreements for two fiber JVs. The first is a 50/50 partnership with Oak Hill Capital to acquire and combine GoNetspeed and Greenlight Networks. The combined platform will expand T-Fiber across the Northeast, currently operates in eight states, and is expected to pass over 1.3mn households by YE26. **The deal is expected to close in 1H27, with T-Mobile investing ~\$2bn for its 50% stake.** The second is a 50/50 JV with Wren House to acquire i3 Broadband, which is expected to pass ~500k households across three states by YE26. **The deal is expected to close in 2H26, with T-Mobile investing ~\$700mn for its 50% stake.**

Verizon

- **Verizon offered an improved 1Q print**, particularly in the Wireless business, as the firm posted positive 1Q postpaid phone net adds for the first time in 13 years. Financial results, however, were more mixed as headline metrics met or fell slightly below consensus, though FCF did modestly outperform expectations. Within the broadband segment, subscriber metrics for Fios materially beat estimates, though FWA net adds were weaker than estimates. Management continued to emphasize a focus on returning to wireless subscriber growth in the near-term, and said that the integration of Frontier is well underway.
- **We remain Neutral on Verizon** as improving operational execution and a clearer path to more durable cash generation are increasingly balanced by a still-elevated leverage profile and a competitive backdrop that limits near-term spread compression. The company is showing tangible progress in customer metrics, with better churn, more disciplined acquisition spend, and early benefits from bundling wireless with fiber and fixed wireless driving higher lifetime value. At the same time, the Frontier acquisition has pushed leverage higher in the near-term, and although management is committed to returning to its 2.0-2.25x target by 2027, that de-levering path relies on sustained execution and continued strong cash generation. Current spreads reflect fair value in our view, and we see little room for upside in a steep curve that has been trading roughly flat to peers AT&T and Verizon for months now. Risks to our rating include faster-than-expected churn improvement, convergence-driven ARPA growth, and sustained FCF enabling quicker de-levering and, conversely, renewed competitive intensity from cable and wireless peers, weaker-than-expected broadband or FWA execution, or slower de-levering progress than we presently expect.
- **Financials.** 1Q financial results were broadly in-line, if not slightly below, estimates for revenue (\$34.44bn vs. \$34.82bn), adj. EBITDA (\$13.40bn vs. \$13.12bn), and EPS (\$1.21/share vs. \$1.21/share). Capex (\$4.20bn vs. \$4.03bn) came in slightly ahead of consensus, though FCF (\$3.78bn vs. \$3.66bn) slightly outperformed.
- **Guidance.** Verizon raised select elements of its FY26 outlook on the back of what it described as strong 1Q execution and improving leading indicators, increasing adj. EPS growth guidance to 5-6% (from prior 4-5%) and indicating postpaid phone net adds should land in the upper half of its stated 750k-1mn range, while reaffirming Mobility and Broadband service revenue growth of 2-3%. Management also reiterated its prior FY26 \$16.25bn capex guidance, and its expectation for FCF of \$21.5bn+.
- **Capital Allocation & Balance Sheet.** Verizon ended 1Q with \$172bn of long-term debt and \$8.4bn of cash and equivalents. Net leverage increased to 2.6x in 1Q following the close of the Frontier transaction, and management said that it has paid down about half of the Frontier debt since the acquisition closed, and it expects to repay substantially all Frontier debt by YE. The company also affirmed its goal of returning net leverage to its 2.0-2.25x target range in the 2027 timeframe, supported by ongoing debt reduction. Management reiterated its capital allocation priorities, which include prioritizing investment in the business and network, maintaining a strong and growing dividend, strengthening the balance sheet, and share repurchases. The firm completed \$1.5bn share repurchases during 1Q and maintained its current plan to repurchase at least \$3bn shares this year.

- **Wireless.** Verizon reported a constructive inflection in its wireless business in 1Q, highlighted by outperformance in postpaid phone net adds (+55k vs. -89k), marking the first time in 13 years that the firm has shown positive postpaid phone net adds in 1Q. This came alongside improving consumer postpaid phone churn of 0.90% (vs. 0.95% at 4Q), and the firm exited March below 0.85%, which management framed as evidence that recent customer experience actions are tightening the bottom of the funnel and supporting healthier growth quality. Wireless service revenue declined ~1% y/y, with management attributing ~80bps of pressure to customer credits tied to a January network outage and reiterating expectations that 1Q represented the low point for Mobility and Broadband service revenue growth in 2026 as promotional amortization headwinds fade with reduced reliance on expensive promotions. Management emphasized a shift toward account-based growth and higher value, including not giving away lines for free, using convergence and perks to support ARPA over time, and applying micro segmentation to be more surgical on retention and device subsidies, which it believes is structurally lowering cost of acquisition and retention and improving customer lifetime value, while noting upgrade volumes were up ~6% y/y but the growth rate has slowed in 2Q as customers hold onto phones longer and Verizon remains disciplined.
- **Broadband.** Verizon reported strong broadband momentum in 1Q with Fios net adds (+127k vs. +51k) outperforming estimates significantly, though FWA net adds (+214k vs. +266k) came in below expectations. Strategically, management reiterated broadband and convergence as key growth vectors, maintained expectations to exceed 32mn fiber passings by year-end, and referenced a medium-term ambition to drive the fiber footprint to 40-50mn passings, positioning it as a priority where available given superior economics versus FWA while still expecting to push FWA aggressively with increased network capacity entering 2026. Verizon emphasized meaningful cross-sell headroom with only ~20% of its base taking broadband and noted that converged offers reduce wireless churn by ~30% while increasing lifetime value and ARPA, supporting management's expectation that broadband net adds will accelerate through 2026 as the Frontier integration progresses and go-to-market ramps, with leadership indicating that the prior 8-9mn FWA subs by 2028 frame should not be materially impacted even if the mix shifts towards fiber.
- **AI & Hyperscalers.** A new narrative emerged as management framed AI as central to Verizon's competitive reset, stating an ambition to be an AI-native company and highlighting a multi-layer AI stack spanning data and intelligence, an agent development layer, runtime engines, and a control plan, with substantial completion targeted by July and full completion by November, alongside partnerships with leading AI providers to accelerate deployment rather than building everything in-house. The company pointed to tangible operational use cases already in motion, including voice agents in customer service with a reported 1,280bp y/y improvement in customer SAT scores, AI enabled improvements across the software development lifecycle that it believes can lift delivery by more than 40% and reduce vendor support costs by 70%+, and broad network automation with 85% of issues resolved autonomously plus more than \$200mn in energy savings and material simplification of network deployment kits. On the revenue side, management said it is in deep discussions with hyperscalers, alternative cloud providers, and large enterprises to integrate Verizon fiber and 5G assets to support AI infrastructure needs such as data center connectivity and training and inference, characterizing the opportunity as potentially multi-billions in revenue with more specifics expected over the next 3-6 months as AI workloads drive greater demand for edge computing and connectivity.

Charter Communications

- **Charter posted a weak 1Q report as residential broadband net losses were materially higher than expected, alongside soft wireless net adds, leading shares to close down 26% at an all-time low following the print.** Management cited pressure on broadband volumes and EBITDA as drivers of the miss, as the firm faces a backdrop characterized by intense competition, a muted housing backdrop, and convergence efforts across both Cable and Telecom. However, underlying trends were more stable than the headline results suggest, as low churn and steady ARPU helped offset topline softness, and the integration of Cox, coupled with a step-down in capex, underpin a more constructive medium-term FCF outlook, even if broadband subscriber metrics have entered an era of largely permanent decline.
- **We recently reinstated our rating on Charter's IG Secured notes at Overweight following a period of restriction, driven by relative value rather than fundamentals.** Our view on Cable has turned more negative, and we have limited conviction in Charter's long-term trajectory given cord-cutting, elevated leverage, and rising fixed wireless competition. That said, near-term catalysts support spread compression. The pending Cox transaction expands the footprint, adds synergy potential, and increases the secured collateral base, while a lower leverage target and reduced buybacks during integration should support near-term credit metrics. Cable has also tended to act as a relative safe haven in periods of macro stress given its domestic, recurring revenue base, providing some downside protection. At current spreads, we believe investors are compensated for the uncertainty, and in a TMT market with limited carry, Charter remains one of the few names offering value. Risks to our rating include a weaker-than-expected Cox integration, faster broadband service declines, and a return to prioritizing buybacks over de-levering post-close.
- **Financials.** Charter's 1Q revenue (\$13.60bn vs. \$13.55bn) and adj. EBITDA (\$5.64bn vs. \$5.63bn) both edged out Street consensus estimates, while capex (\$2.86bn vs. \$2.65bn) was slightly elevated, leading to weaker FCF (\$1.37bn vs. \$1.65bn).
- **Guidance.** Charter's outlook reflects a cautious near-term operating environment balanced against confidence in longer-term cash flow expansion, with management expecting modest EBITDA growth in 2026 excluding transaction costs, supported in part by political advertising and ongoing cost discipline, though the trajectory remains sensitive to pricing and promotional decisions across broadband. Broadband ARPU is expected to remain roughly stable on a full year basis as the company continues to trade off near-term pricing versus customer lifetime value, while subscriber trends will depend on improvements in top-of-funnel activity amid persistent competitive and housing-related headwinds. Capital expenditures are expected to remain elevated in 2026 before stepping down meaningfully in subsequent years as network investment cycles roll off, positioning the business for a step change in FCF. Management reiterated that execution against its convergence strategy, including mobile bundling and pricing migrations, alongside eventual normalization in the operating backdrop, should support a return to broadband growth over time, though we remain more skeptical.
- **Capital Allocation & Balance Sheet.** Charter ended 1Q with \$517mn of cash and equivalents and \$94bn of long-term debt, reporting consolidated net leverage of 4.15x and secured net leverage of 2.95x. The firm's balance sheet and capital

allocation framework remain anchored in a levered equity model with a stated path to de-levering alongside continued shareholder returns. Management continues to prioritize share repurchases as its primary use of capital, demonstrated by nearly \$1bn of buybacks in 1Q, while also funding temporarily elevated capex tied to network evolution that is expected to step down meaningfully over time, supporting improved FCF generation. The company remains constructive on M&A, particularly within cable, viewing consolidation as strategically and financially attractive given increasing competition from national and global players, though the near-term focus is on closing and integrating the Cox transaction. Importantly, Charter emphasized that its operating model and scale can drive both cost and revenue synergies in acquired assets, reinforcing its willingness to pursue additional transactions opportunistically.

- **Capital Allocation & Balance Sheet Going Forward.** Charter's high debt load is manageable in a stable or growing business, but subscriber losses create ongoing pressure on revenue and EBITDA, weakening the leverage base. Reported net leverage sits at ~4.15x (2.95x secured), above market averages, and FCF strength partly reflects elevated capex rather than normalized earnings. As capex normalizes post-buildout and the Cox synergies are realized, the FCF expansion story is credible, but it is also highly sensitive to assumptions about broadband ARPU stability and subscriber trajectory that are genuinely difficult to underwrite with confidence. As such, the firm's capital allocation choices will matter enormously. A management team that directs FCF toward debt reduction in a declining top-line environment builds covenant headroom and extends the runway for credit stability. One that prioritizes buybacks, as Charter has historically done, concentrates risk at the bondholder level precisely when the fundamental backdrop warrants more conservatism. As such, we expect that Charter will need to further lower its leverage target in the near- or medium-term, and also scale back share repurchases in favor of maintaining a more conservative capital structure amid continued EBITDA declines.
- **Broadband.** Residential broadband net adds materially missed expectations, as the firm reported -117k residential broadband net adds, versus consensus estimates of -94k. Charter's 1Q broadband results reflected continued pressure on subscriber growth despite stable underlying customer dynamics, with the company losing 120k internet customers as elevated competition from FWA, fiber overbuild, and mobile substitution weighed on gross additions, partially offset by modest improvements in churn, which remains at historically low levels. Management characterized the environment as a top-of-funnel issue rather than a retention problem, noting that sales activity has been constrained by a muted housing backdrop and competitive intensity, while in-footprint share remains resilient even in mature fiber markets. Residential connectivity revenue still grew modestly y/y, supported by pricing actions and mobile bundling, though overall broadband ARPU was roughly flat as the company balanced customer lifetime value against near-term pricing and promotional decisions. Strategically, Charter continues to lead into convergence through bundled mobile and video offerings, pricing and packaging migrations, and product enhancements such as improved WiFi and service tools, with the goal of stabilizing broadband growth over time despite near-term volume headwinds.
- **Wireless.** The firm's wireless net adds also missed consensus, reporting +368k new subscribers versus a +436k estimate. The wireless business remained a relative bright spot in 1Q, with Spectrum Mobile continuing to scale but showing signs of moderating momentum as competitive intensity increased, adding ~370k lines in the quarter and maintaining double-digit y/y growth over the past year. Growth was driven by strong gross additions tied to the company's value proposition and

bundling strategy, though higher disconnect and aggressive device subsidy activity from the national carriers tempered net additions. Management continues to position mobile as a core component of its convergence strategy, using it to drive broadband acquisition, improve customer retention, and enhance overall household economics with bundled offerings and pricing guarantees designed to highlight savings versus incumbent telcos. The company emphasized ongoing product enhancements, including flexible upgrade programs, international plans, and seamless connectivity leveraging its hybrid network approach, while acknowledging that near-term growth will remain sensitive to promotional dynamics and competitive subsidy behavior across the broader wireless market.

- **Cox Merger.** The pending Cox transaction remains central to Charter's strategic and financial outlook, with management highlighting a clear path to both operating and revenue synergies while reinforcing its long-term convergence strategy, as the deal has now received all required approvals aside from California and is tracking towards a summer close. The company expects ~\$800mn of run-rate opex synergies, driven by procurement efficiencies and cost alignment, with additional upside from applying Charter's pricing, packaging, and go-to-market model across the Cox footprint. Strategically, the transaction is framed as a growth opportunity rather than a consolidation exercise, with low mobile and video penetration at Cox providing a meaningful runway to drive higher customer ARPU and improve churn through bundled offerings, even as broadband pricing is reset lower. Management also pointed to incremental benefits from Cox's complementary B2B capabilities and well-maintained network, while reiterating that near-term leverage will remain around current levels before trending toward a targeted 3.5-3.75x range over time, supporting continued capital returns alongside integration execution.

Comcast

- **Comcast reported a stronger-than-expected 1Q result**, headlined by a meaningful inflection in broadband trends as the firm posted its first y/y broadband subscriber improvement since 2020 and meaningfully outperformed on wireless net adds. Growth was also driven by major live events like the Super Bowl and the Olympics, as well as continued momentum in parks, though the underlying performance reflects a business still in transition. Connectivity & Platforms showed early signs of stabilization as broadband losses improved and wireless growth accelerated, though pricing actions and bundling continue to pressure ARPU and EBITDA in the near-term. Overall, the results support management's view that strategic changes are gaining traction, but the company remains in an investment phase with a clearer earnings inflection not expected until later in the year.
- **We remain Underweight on Comcast** given spreads that screen tight not only versus cable peers but also inside issuers like Meta and the Big Three Telecoms, which we view as difficult to justify in the context of Comcast's current earnings profile and execution risk. While management is showing early signs of stabilization in Connectivity & Platforms, the business remains in a transition phase with ongoing broadband subscriber pressure, ARPU dilution from pricing actions and wireless bundling, and near-term EBITDA headwinds tied to the go-to-market pivot. At the same time, Content & Experiences faces elevated investment and cost volatility, particularly from sports rights and streaming profitability ramp, which limits near term margin visibility. Against this backdrop, we see limited catalysts for material spread tightening from already tight levels, especially relative to peers with clear

growth trajectories, more stable margins, or stronger balance sheet narratives, leaving risk-reward skewed to the downside. Risks to our rating include faster-than-expected broadband stabilization and wireless monetization driving a quicker inflection in EBITDA and FCF.

- **Financials.** Headline metrics including revenue (\$31.46bn vs. \$30.41bn), adj. EBITDA (\$7.93bn vs. \$7.72bn), and EPS (\$0.79/share vs. \$0.72/share) all beat Street estimates, and lower-than-expected capex (\$2.40bn vs. \$2.62bn) enabled a FCF beat as well (\$3.90bn vs. \$3.04bn).
- **Guidance.** Management framed the outlook as a transition year with continued investment and near-term pressure offset by improving trends as the year progresses, particularly within Connectivity & Platforms where the broadband repositioning and wireless bundling strategy is expected to drive stabilization before returning the business to revenue and EBITDA growth over time. Broadband ARPU and profitability are expected to remain under pressure in the near term due to pricing actions and free line dynamics, with some incremental pressure in 2Q before easing in 2H as customer cohorts begin to monetize. In Content & Experiences, 1Q marked the peak of NBA-related cost dilution, with profitability expected to improve q/q and Peacock approaching profitability in 2Q, supporting a more durable earnings profile going forward. More broadly, management highlighted confidence in converting free wireless lines to paid relationships, continued growth in convergence revenue over time, and sustained investment behind network, customer experience, and content, with the overall trajectory pointing to improved financial performance as execution gains traction through the year.
- **Capital Allocation & Balance Sheet.** Comcast ended 1Q with \$94.61bn of total debt and \$9.5bn of cash and equivalents, leaving net leverage at 2.3x, within the firm's target range. Management reiterated its commitment to maintain leverage at this level over time, even as the Versant spin temporarily creates some upward pressure in the calculation. FCF generation remained strong during the quarter, supporting a balanced capital allocation framework that prioritizes organic investment across growth drivers while continuing to return capital to shareholders through dividends and share repurchases. The company returned a meaningful amount of capital in the quarter and over the past year, reflecting confidence in underlying cash generation despite ongoing investment in broadband repositioning, network upgrades, and content commitments. On M&A, management maintained a high bar for transformative transactions, emphasizing a focus on execution and organic improvement as the primary value driver, while remaining open to partnerships and selective opportunities that enhance scale or strategic positioning across connectivity, media, or mobile. This approach reflects a disciplined posture with flexibility to pursue value creation while preserving balance sheet strength and ratings stability.
- **Connectivity & Platforms.** Segment revenue of \$19.96bn (vs. \$19.81bn) and adj. EBITDA of \$7.91bn (vs. \$7.86bn) edged out estimates, and subscriber metrics notably outperformed expectations as total broadband net adds of +10k beat estimates for -169k losses, marking the first y/y subs improvement since 2020, and the firm added 435k wireless subscribers (vs. +357k), its best quarter ever. The Connectivity & Platforms business delivered early signs of stabilization despite a still-intense competitive backdrop, with broadband trends improving meaningfully y/y as subscriber losses narrowed and connect activity, churn, and customer satisfaction all moved in the right direction. Management attributed the improvement to traction in its go-to-market pivot, including simpler pricing,

stronger marketing tied to large-scale events, and increased wireless bundling, with ~40% of the broadband base now on new packaging. Wireless remained a clear bright spot with record net additions, strong uptake of premium plans, and rising penetration, reinforcing its role in driving engagement and reducing churn, although the mix of free line offers and pricing changes pressured broadband ARPU and weighed on near-term EBITDA. Overall, convergence trends remain negative in the near-term but are supported by double-digit wireless service revenue growth and a sizable monetization opportunity as free lines convert to paid relationships in 2H, underpinning management's confidence in returning the business to revenue and EBITDA growth over time.

- **Content & Experiences.** Segment revenue of \$11.94bn (vs. \$11.16bn) and adj. EBITDA of \$331mn (vs. \$109mn) also exceeded expectations, as Content & Experiences delivered strong top line growth driven by the outsized contribution from major live events, with the Olympics and Super Bowl generating significant incremental revenue and supporting elevated advertising demand, while underlying performance remained solid across media, parks, and studios. Media benefited from continued momentum at Peacock with subscriber growth and improving monetization, although profitability remains pressured in the near term by the first year of NBA rights costs, which are expected to moderate as the year progresses. Studios posted a strong quarter supported by content licensing and a successful film slate, reinforcing the importance of franchise driven earnings within the segment. Parks continued to perform well, led by strength in Orlando with higher attendance and per capita spending tied to Epic, partially offset by softer trends internationally amid macro and travel-related pressures. The segment reflects a mix of event-driven upside and ongoing investment, with management focused on leveraging scale across platforms and driving improved profitability, particularly in streaming, over time.

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AT&T - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	25 Mar 24	Downgrade	Neutral	T
Issuer	31 Jul 24	Upgrade	Overweight	T
Issuer	10 Jul 25	Downgrade	Neutral	T
4.350% '29 *	25 Mar 24	Downgrade	Neutral	US00206RHJ41
4.350% '29 *	31 Jul 24	Upgrade	Overweight	US00206RHJ41
4.350% '29 *	10 Jul 25	Downgrade	Neutral	US00206RHJ41
2.625% '22	22 Oct 16	—	Not Rated	US00206RBN17
3.900% '24	19 Aug 19	Terminate	Not Covered	US00206RCE09

Charter Communications - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	17 May 24	Upgrade	Overweight	CHTR
Issuer	13 Nov 24	Withdrawn	Not Rated	CHTR
Issuer	20 Apr 26	Restored	Overweight	CHTR
5.050% '29 (IG) *	17 May 24	Upgrade	Overweight	US161175BR49
5.050% '29 (IG) *	13 Nov 24	Withdrawn	Not Rated	US161175BR49
5.050% '29 (IG) *	20 Apr 26	Restored	Overweight	US161175BR49
3.750% 1st Lien due 2028 (IG)	07 Dec 17	Terminate	Not Covered	US161175BE36
4.000% Sr Unsec due 2023	05 Apr 24	Terminate	Not Covered	US1248EPBZ52
4.200% '28 (IG)	01 Oct 19	Terminate	Not Covered	US161175BK95
4.250% Sr Unsec due 2031	13 Nov 24	Withdrawn	Not Rated	US1248EPC74
4.250% Sr Unsec due 2031	20 Apr 26	Restored	Underweight	US1248EPC74
4.2500% Sr Unsec due 2034	13 Nov 24	Withdrawn	Not Rated	US1248EPCP61
4.2500% Sr Unsec due 2034	20 Apr 26	Restored	Underweight	US1248EPCP61
4.5% Sr Unsec Nts due 2030	13 Nov 24	Withdrawn	Not Rated	US1248EPCE15
4.5% Sr Unsec Nts due 2030	20 Apr 26	Restored	Underweight	US1248EPCE15
4.500% Sr Unsec due 2032	13 Nov 24	Withdrawn	Not Rated	US1248EPCJ02
4.500% Sr Unsec due 2032	20 Apr 26	Restored	Underweight	US1248EPCJ02
4.500% Sr Unsec due 2033	13 Nov 24	Withdrawn	Not Rated	US1248EPCL57
4.500% Sr Unsec due 2033	20 Apr 26	Restored	Underweight	US1248EPCL57
4.750% Sr Unsec due 2030	13 Nov 24	Withdrawn	Not Rated	US1248EPCD32
4.750% Sr Unsec due 2030	20 Apr 26	Restored	Underweight	US1248EPCD32
4.750% Sr Unsec due 2032	24 Apr 26	Initiate	Underweight	US1248EPCQ45
4.908% 1st Lien due 2025 (IG)	22 Aug 17	Terminate	Not Covered	US161175AT14
5.000% Sr Unsec due 2028	13 Nov 24	Withdrawn	Not Rated	US1248EPBX05
5.000% Sr Unsec due 2028	20 Apr 26	Restored	Underweight	US1248EPBX05
5.125% Sr Unsec due 2023	29 May 20	Terminate	Not Covered	US1248EPAZ61
5.125% Sr Unsec due 2027	13 Nov 24	Withdrawn	Not Rated	US1248EPBT92
5.125% Sr Unsec due 2027	20 Apr 26	Restored	Underweight	US1248EPBT92
5.25% Sr Unsec due 2021	29 May 20	Terminate	Not Covered	US1248EPBB84
5.25% Sr Unsec due 2022	29 May 20	Terminate	Not Covered	US1248EPAY96
5.375% Sr Unsec due 2029	13 Nov 24	Withdrawn	Not Rated	US1248EPCB75
5.375% Sr Unsec due 2029	20 Apr 26	Restored	Underweight	US1248EPCB75

5.375% Sr Unsec due 2025	13 Nov 20	Terminate	Not Covered	US1248EPBG71
5.500% Sr Unsec due 2026	13 Nov 24	Withdrawn	Not Rated	US1248EPBR37
5.500% Sr Unsec due 2026	10 Apr 26	—	Not Covered	US1248EPBR37
5.75% Sr Unsec due 2023	29 May 20	Terminate	Not Covered	USU12501AJ84
5.75% Sr Unsec due 2024	29 May 20	Terminate	Not Covered	US1248EPBE24
5.750% Sr Unsec due 2026	20 Oct 21	Terminate	Not Covered	US1248EPBM40
5.875% Sr Unsec due 2024	13 Nov 20	Terminate	Not Covered	US1248EPBP70
5.875% Sr Unsec due 2027	01 Jul 21	Terminate	Not Covered	US1248EPBK83
6.375% Sr Unsec Nts due 2029	13 Nov 24	Withdrawn	Not Rated	US1248EPCS01
6.375% Sr Unsec Nts due 2029	20 Apr 26	Restored	Underweight	US1248EPCS01
6.484% 1st Lien due 2045	26 Jan 18	Terminate	Not Covered	US161175AP91
6.5% Sr Unsec due 2021	25 Jan 18	Terminate	Not Covered	US1248EPAU74
6.625% Sr Unsec due 2022	25 Jan 18	Terminate	Not Covered	US1248EPAX14
7% Sr Unsec due 2019	25 Jan 18	Terminate	Not Covered	US1248EPAS29
7.000% Sr Unsec due 2033	24 Apr 26	Initiate	Underweight	US1248EPCU56
7.25% Sr Unsec due 2017	25 Jan 18	Terminate	Not Covered	US1248EPAQ62
7.375% Sr Unsec due 2020	25 Jan 18	Terminate	Not Covered	US1248EPAW31
7.375% Sr Unsec due 2031	01 Jun 23	Initiate	Neutral	US1248EPCT83
7.375% Sr Unsec due 2031	13 Nov 24	Withdrawn	Not Rated	US1248EPCT83
7.375% Sr Unsec due 2031	20 Apr 26	Restored	Underweight	US1248EPCT83
7.375% Sr Unsec due 2036	24 Apr 26	Initiate	Underweight	US1248EPCV30
8.125% Sr Unsec due 2020	25 Jan 18	Terminate	Not Covered	US1248EPAP89
CDS	25 Jan 18	Terminate	Not Covered	—

Comcast - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	16 Jan 24	Downgrade	Underweight	CMCSA
Issuer	03 Jun 24	Upgrade	Neutral	CMCSA
Issuer	18 Nov 24	Downgrade	Underweight	CMCSA
1.5% '31 *	16 Jan 24	Downgrade	Underweight	US20030NDN84
1.5% '31 *	03 Jun 24	Upgrade	Neutral	US20030NDN84
1.5% '31 *	18 Nov 24	Downgrade	Underweight	US20030NDN84
2.350% '27	06 Apr 17	Terminate	Not Covered	US20030NBW02
2.85% Sr Unsec due 2023	21 Sep 16	Terminate	Not Covered	US20030NBF78
3.150% '26	19 May 17	Terminate	Not Covered	US20030NBS99
3.150% '28	22 Aug 19	Terminate	Not Covered	US20030NCA72
3.300% '27	07 Dec 17	Terminate	Not Covered	US20030NBY67
3.600% Sr Nts due 2024	21 Sep 16	Terminate	Not Covered	US20030NBK90
4.150% '28	02 Dec 20	Terminate	Not Covered	US20030NCT63
4.5% Sr Unsec due 2043	21 Sep 16	Terminate	Not Covered	US20030NBG51
4.750% Sr Nts due 2044	21 Sep 16	Terminate	Not Covered	US20030NBK63

T-Mobile US Inc. - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	10 Jul 23	Downgrade	Neutral	TMUS
Issuer	29 Nov 23	Upgrade	Overweight	TMUS
Issuer	31 Jul 24	Downgrade	Neutral	TMUS

Issuer	10 Jul 25	Upgrade	Overweight	TMUS
Issuer	24 Mar 26	Downgrade	Neutral	TMUS
3.500% Sr Nts due 2031 *	10 Jul 23	Downgrade	Neutral	US87264ABW45
3.500% Sr Nts due 2031 *	29 Nov 23	Upgrade	Overweight	US87264ABW45
3.500% Sr Nts due 2031 *	31 Jul 24	Downgrade	Neutral	US87264ABW45
3.500% Sr Nts due 2031 *	10 Jul 25	Upgrade	Overweight	US87264ABW45
3.500% Sr Nts due 2031 *	24 Mar 26	Downgrade	Neutral	US87264ABW45
1.500% Sr Sec Nts due 2026 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABG94
2.050% Sr Sec Nts due 2028 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABH77
2.250% Sr Notes due 2026	25 Jul 22	Terminate	Not Covered	US87264ABR59
2.250% Sr Sec Nts due 2031 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABP93
2.550% Sr Sec Nts due 2031 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABJ34
2.625% Sr Notes due 2029	25 Jul 22	Terminate	Not Covered	US87264ABS33
2.625% Sr Nts due 2026	25 Jul 22	Terminate	Not Covered	US87264ABU88
2.875% Sr Notes due 2031	25 Jul 22	Terminate	Not Covered	US87264ABT16
3.000% Sr Sec Nts due 2041 (IG)	14 Dec 21	Terminate	Not Covered	US87264ABK07
3.300% Sr Sec Nts due 2051 (IG)	14 Dec 21	Terminate	Not Covered	US87264ABM62
3.375% Sr Nts due 2029	25 Jul 22	Terminate	Not Covered	US87264ABV61
3.500% Sr Sec Nts due 2025 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABA25
3.600% Sr Sec Nts due 2060 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABQ76
3.750% Sr Sec Nts due 2027 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABC80
3.875% Sr Sec Nts due 2030 (IG)	25 Jul 22	Terminate	Not Covered	US87264ABE47
4.000% '22	19 Jul 22	Terminate	Not Covered	US87264AAR68
4.375% Sr Sec Nts due 2040 (IG)	25 Jul 22	Terminate	Not Covered	US87264AAX37
4.500% Sr Notes due 2026	14 Dec 21	Terminate	Not Covered	US87264AAU97
4.500% Sr Sec Nts due 2050 (IG)	25 Jul 22	Terminate	Not Covered	US87264AAY10
4.750% Sr Notes due 2028	25 Jul 22	Terminate	Not Covered	US87264AAV70
5.125% '25	04 Jun 21	Terminate	Not Covered	US87264AAS42
5.250% Sr Nts due 2018	02 Oct 17	Terminate	Not Covered	US87264AAA34
5.375% '27	25 Jul 22	Terminate	Not Covered	US87264AAT25
6.000% Sr Nts due 2023	04 Jun 21	Terminate	Not Covered	US87264AAM71
6.000% Sr Nts due 2024	04 Jun 21	Terminate	Not Covered	US87264AAQ85
6.125% Sr Nts due 2022	22 Jan 18	Terminate	Not Covered	US87264AAH86
6.250% Sr Nts due 2021	02 Oct 17	Terminate	Not Covered	US87264AAK16
6.375% Sr Nts due 2025	30 Sep 20	Terminate	Not Covered	US87264AAN54
6.464% Sr Nts due 2019	02 Oct 17	Terminate	Not Covered	US87264AAC99
6.5% Sr Nts due 2026	22 Apr 21	Terminate	Not Covered	US87264AAP03
6.500% Sr Nts due 2024	20 Aug 20	Terminate	Not Covered	US87264AAJ43
6.542% Sr Nts due 2020	02 Oct 17	Terminate	Not Covered	US87264AAF21
6.625% Sr Nts due 2020	02 Oct 17	Terminate	Not Covered	US591709AL49
6.625% Sr Nts due 2023	29 Apr 20	—	Not Covered	US591709AP52
6.633% Sr Nts due 2021	02 Oct 17	Terminate	Not Covered	US87264AAD72
6.731% Sr Nts due 2022	02 Oct 17	Terminate	Not Covered	US87264AAG04
6.836% Sr Nts due 2023	29 Apr 20	—	Not Covered	US87264AAE55
7.875% Sr Nts due 2018	02 Oct 17	Terminate	Not Covered	US591709AK65
L+300bp TLB due 2027	08 Jan 21	Terminate	Not Covered	—
S 11.500% Sr Nts due 2021	20 Dec 21	Terminate	Not Covered	US852061AM20
S 6.000% Sr Nts due 2022	25 Jul 22	Terminate	Not Covered	US852061AS99
S 6.875% Sr Nts due 2028	25 Jul 22	Terminate	Not Covered	US852060AD48

S 7.000% Sr Nts due 2020	04 Sep 20	Terminate	Not Covered	US852061AR17
S 7.125% Sr Nts due 2024	25 Jul 22	Terminate	Not Covered	US85207UAH86
S 7.250% Sr Nts due 2021	20 Dec 21	Terminate	Not Covered	US85207UAE55
S 7.625% Sr Notes due 2026	25 Jul 22	Terminate	Not Covered	US85207UAK16
S 7.625% SrNts due 2025	25 Jul 22	Terminate	Not Covered	US85207UAJ43
S 7.875% Sr Nts due 2023	14 Dec 21	Terminate	Not Covered	US85207UAB17
S 7.875% due 2023	25 Jul 22	Terminate	Not Covered	US85207UAF21
S 8.750% Sr Nts due 2032	25 Jul 22	Terminate	Not Covered	US852060AQ50
S 9.250% Sr Nts due 2022	19 Jul 22	Terminate	Not Covered	US852061AA81
SPRNTS 3.360% Spectrum Notes due	14 Dec 21	Terminate	Not Covered	US85208NAA81
SPRNTS 4.738% Spectrum Notes due	25 Jul 22	Terminate	Not Covered	US85208NAD21
SPRNTS 5.152% Spectrum Notes due	25 Jul 22	Terminate	Not Covered	US85208NAE04

Verizon Communications - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	25 Mar 24	Upgrade	Overweight	VZ
Issuer	08 Oct 25	Downgrade	Neutral	VZ
3.875% '29 *	25 Mar 24	Upgrade	Overweight	US92343VES97
3.875% '29 *	08 Oct 25	Downgrade	Neutral	US92343VES97
2.450% '22	15 Sep 16	Terminate	Not Covered	US92343VBJ26
2.625% '26	19 May 17	Terminate	Not Covered	US92343VDD38
4.125% '27	19 Aug 19	Terminate	Not Covered	US92343VDY74
4.150% '24	22 Nov 16	Terminate	Not Covered	US92343VBY92

***Indicates representative/primary bond/instrument.**

The table(s) above show the recommendation changes made by J.P. Morgan Credit Research Analysts in the subject company and/or instruments over the past three years (or, if no recommendation changes were made during that period, the most recent change). Notes: Effective April 11, 2016, J.P. Morgan changed its Credit Research Ratings System. Please see the Explanation of Credit Research Ratings below for the new definitions. The previous rating system no longer should be relied upon. For the history prior to April 11, 2016, please call 1-800-447-0406 or e-mail research.disclosure.inquiries@jpmorgan.com.

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*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "Overweight," "Neutral" and "Underweight" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

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